In The

The Supreme Court of the United States

October Term, 2018

No. 18-0918

IN RE BACKSTREETS PLOWING, INC.,
Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,
Petitioner

v.

MILTON WEINBERG,
Respondent.

On Writ of Certiorari from the United States Court of Appeals for the Thirteenth Circuit

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BRIEF FOR RESPONDENT

Oral Argument Requested

Team R18
Counsel for Respondent

QUESTIONS PRESENTED

1. Whether 11 U.S.C. § 362(a)(3) prohibits a secured creditor from passively retaining estate property that was lawfully repossessed prepetition and whether it is necessary for the debtor or trustee of the estate to file an action with the bankruptcy court in order for a turnover action to commence pursuant to 11 U.S.C. § 542(a).

2. Whether 11 U.S.C. § 503(b) permits a court to grant an administrative expense to a creditor for a substantial contribution in a case under Chapter 7 of the Bankruptcy Code where it is undisputed that the Creditor made a substantial contribution to the bankruptcy estate by providing the Trustee with sufficient documentation and testimony to establish that $100,000 worth of deceptive transfers were avoidable as fraudulent transfers.

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OPINIONS BELOW

The Bankruptcy Court for the District of Moot held that Weinberg's passive retention of the snow plows did not violate 11 U.S.C. § 362(a)(3), and that Weinberg is entitled to a substantial contribution administrative expense under 11 U.S.C. § 503(b). R. at 3. The Bankruptcy Appellate Panel for the Thirteenth Circuit affirmed. R. at 3. The U.S. Court of Appels for the Thirteenth Circuit also affirmed; its opinion is reproduced as the record in this appeal.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS INVOLVED

Statutory Provisions

11 U.S.C. § 102(3) provides:

In this title—

(3) "includes" and "including" are not limiting[.]

11 U.S.C. § 362(a)(3) provides:

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate.

11 U.S.C. § 503(b) provides:

(b) After notice and a hearing, there shall be allowed, administrative expenses, other than claims allowed under section 502(f) of this title, including—

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—

(A) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title[.]

11 U.S.C. § 507(a) provides:

(a) The following expenses and claims have priority in the following order:

(1) First:

(A) Allowed unsecured claims for domestic support obligations that, as of the date of the filing of the petition in a case under this title, are owed to or recoverable by a spouse, former spouse, or child of the debtor, or such child's parent, legal guardian, or responsible relative, without regard to whether the claim is filed by such person or is filed by a governmental unit on behalf of such person, on the condition that funds received under this paragraph by a governmental unit under this title after the date of the filing of the petition shall be applied and distributed in accordance with applicable nonbankruptcy law.

(B) Subject to claims under subparagraph (A), allowed unsecured claims for domestic support obligations that, as of the date of the filing of the petition, are assigned by a spouse, former spouse, child of the debtor, or such child's parent, legal guardian, or responsible relative to a governmental unit (unless such obligation is assigned voluntarily by the spouse, former spouse, child, parent, legal guardian, or responsible relative of the child for the purpose of collecting the debt) or are owed directly to or recoverable by a governmental unit under applicable nonbankruptcy law, on the condition that funds received under this paragraph by a governmental unit under this title after the date of the filing of the petition be applied and distributed in accordance with applicable nonbankruptcy law.

(C) If a trustee is appointed or elected under section 701, 702, 703, 1104, 1202, or 1302, the administrative expenses of the trustee allowed under paragraphs (1)(A), (2), and (6) of section 503(b) shall be paid before payment of claims under subparagraphs (A) and (B), to the extent that the trustee administers assets that are otherwise available for the payment of such claims.

11 U.S.C. § 542(a) provides:

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use,

sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

STATEMENT OF FACTS

Backstreets Plowing, Inc. (the "Debtor") operated a snow plow business. R. at 3. In the spring of 2015, the Debtor's only shareholder, Christopher Clemons ("Clemons"), decided he would need to purchase new snow plow trucks to help the Debtor compete for a plowing contract with the City of Badlands (the "City"). R. at 3-4. Clemons contacted Milton Weinberg ("Weinberg"), a secured creditor and an acquaintance, about borrowing $450,000 so that the Debtor could buy the new trucks. R. at 4. Weinberg agreed to loan the Debtor the funds, but to secure repayment of the loan, the Debtor granted Weinberg a security interest in the trucks. R. at 4. Additionally, Clemons personally guaranteed the loan. R. at 4. According to the conditions of a promissory note, the Debtor agreed to make monthly payments to Weinberg, which were to begin when the business started generating revenue in December 2015. R. at 4. The Debtor purchased the trucks soon after receiving the loan proceeds in August 2015. R. at 4.

The Debtor subsequently presented its bid for the plowing contract to the City. R. at 4. The Debtor's bid was considerably better than the other bids, to the point that various members of the city council publicly questioned whether the Debtor could perform under the contract due to the small projected profit margins. R. at 4. Nonetheless, the city council decided to award the contract to the Debtor. R. at 4. The winter of 2015-2016 was particularly mild, which proved profitable for the Debtor since the contract with the City paid a flat rate regardless of whether it snowed or not. R. at 4. Unfortunately, as a result of a football-related disagreement, Clemons and Weinberg had a falling out and Clemons did not make the December 2015 loan payment owed to Weinberg. R. at 5. In February 2016, after Clemons failed to pay the first few payments under the note, Weinberg contacted Clemons regarding the payments. R. at 5.

After Weinberg's attempt to discuss the issue with Clemons resulted in Clemons demanding that Weinberg leave the facility, Weinberg filed suit on the promissory note and on Clemons's personal guarantee in the State of Moot Circuit Court in April 2016. R. at 5. In October 2016, Weinberg obtained a default judgment against "the Debtor and Clemons, jointly and severally, for $450,000 plus interest and fees." R. at 5. Weinberg did not immediately take any action to collect on the default judgment. R. at 5.

Unlike the previous winter, the winter of 2016-2017 was especially harsh, and the monthly payments the Debtor received from the City were insufficient to cover its labor, maintenance, and fuel costs. R. at 5-6. Furthermore, in January 2017, Weinberg initiated efforts to collect on his judgment. R. at 6. Weinberg hired a repossession company, E Street Auto Recovery ("E Street"), to retrieve the snow plow trucks. R. at 6. By late January 2017, E Street repossessed the trucks and delivered them to a warehouse owned by Weinberg, which is where they remain to this day. R. at 6. Running out of money and missing the snow plow trucks, the Debtor ultimately failed to perform its plowing contract with the City. R. at 6. On February 4, 2017, the Debtor filed a Chapter 11 bankruptcy petition. R. at 6.

The Debtor's attorneys subsequently sent Weinberg a letter demanding that the trucks be returned. R. at 6. Weinberg testified before the bankruptcy court that he refused to return the trucks "based on his understanding that the Debtor had the burden to bring a turnover action, in which case Weinberg could demand adequate protection of his interest in the snow plow trucks." R. at 6. Rather than initiating a turnover action, the Debtor filed a motion asking the bankruptcy court to determine that Weinberg's retention of the trucks comprised a violation of the automatic stay under § 362(a)(3). R. at 6. The bankruptcy court held that Weinberg had not violated the

stay, concluding that mere retention of property lawfully repossessed prepetition does not qualify as an "act to . . . exercise control over property of the estate" under § 362(a)(3). R. at 6.

In March 2017, the Debtor timely appealed the bankruptcy court's ruling. R. at 6. After the filing of the appeal, Clemons determined that attempts to reorganize the Debtor would be useless since the city council informed him that it would not be offering a new contract for the next winter. R. at 6-7. Accordingly, the Debtor converted the Chapter 11 case to a Chapter 7 case under the Bankruptcy Code. R. at 7. On April 13, 2017, Steven Vin Sant (the "Trustee") was appointed as the Chapter 7 trustee to administer the Debtor's bankruptcy estate and liquidate its property. R. at 7. The Bankruptcy Appellate Panel stayed the pending appeal in order to allow the Trustee to substitute in for the Debtor. R. at 7.

After the case was converted to Chapter 7, Weinberg began collection efforts against Clemons on the judgment regarding his personal guarantee. R. at 7. Weinberg hired a collection law firm that took a creditors' examination of Clemons in May 2017. R. at 7. As a result of that examination, Weinberg discovered that starting in May 2016, soon after the filing of Weinberg's initial lawsuit against the Debtor and Clemons, the Debtor had made transfers of approximately $100,000 in cash directly to a bank account in the name of Clemons's daughter, Patti Clemons. R. at 7. Weinberg voluntarily provided the Trustee with "sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers." R. at 7. The Trustee filed a complaint against Patti Clemons to avoid and recover the transfers, and a settlement was promptly reached. R. at 7. Under the terms of the settlement, Patti Clemons "agreed to pay $75,000 to the estate in satisfaction of all claims asserted in the adversary proceeding." R. at 7.

As a result of investigating the fraudulent transfers, Weinberg incurred $25,000 in legal fees. R. at 7. Once the bankruptcy court approved the settlement, Weinberg filed a motion

seeking the grant of a substantial contribution administrative expense under § 503(b). R. at 7. The Trustee conceded that Weinberg had made a substantial contribution to the estate, yet he opposed the motion on the grounds that § 503(b)(3)(D) restricts such administrative expenses to cases under Chapters 9 and 11. R. at 7-8. The bankruptcy court decided to approve Weinberg's motion, and the court granted him an allowed administrative expense in the sum of $25,000. R. at 8. The Trustee timely appealed the bankruptcy court's decision. R. at 8.

In September 2017, the Trustee received a letter from Tenth Avenue Freeze, Inc. ("Tenth Avenue"), another local snow plow business, offering to purchase all of the Debtor's assets, including the snow plow trucks. R. at 8. Tenth Avenue's offer was contingent on the Trustee immediately obtaining possession of, and conveying title to, the trucks that had been repossessed by Weinberg. R. at 8. The Trustee attempted to reach an agreement with Weinberg for the return of the trucks, but negotiations were unsuccessful and the Trustee continued prosecution of the appeal concerning Weinberg's supposed violation of the automatic stay. R. at 8. In maintaining the appeal, the Trustee sought to coerce Weinberg into handing over the trucks so that a sale could be consummated with Tenth Avenue prior to the approaching winter. R. at 8.

In November 2017, Tenth Avenue withdrew its offer once it became apparent that the Trustee would not be able to convey title to the trucks before the beginning of winter. R. at 8. However, in January 2018, another local snow plow business, Stone Pony Plowing, LLC ("Stone Pony"), offered $100,000 less for the Debtor's assets, excluding the snow plow trucks. R. at 8. The Trustee accepted the offer, and the bankruptcy court approved the sale in February 2018. R. at 8-9. The Trustee refused to dismiss the appeals, and he hopes to prevail regarding the alleged stay violation and recover from Weinberg, as damages, the difference between the offer made by Tenth Avenue and the sale proceeds received from Stone Pony. R. at 9. The Trustee additionally

continued with the substantial contribution appeal. R. at 9. With the consent of the parties, both appeals were consolidated before the Bankruptcy Appellate Panel for the Thirteenth Circuit, which affirmed the decision of the United States Bankruptcy Court for the District of Moot on both issues, answering the two questions in favor of Weinberg. R. at 3, 9. The bankruptcy court and the appellate panel concluded that: (1) Weinberg's "retention of the snow plow trucks that he legally repossessed prior to the bankruptcy filing, each of which constituted collateral for a loan made to the Debtor, did not violate Section 362(a)(3)," and (2) Weinberg was "entitled to a substantial contribution administrative expense under Section 503(b), notwithstanding Section 503(b)(3)(D)." R. at 3. The Trustee timely appealed the determinations to the United States Court of Appeals for the Thirteenth Circuit, which also affirmed the lower courts on both issues. R. at 2-3, 9.

SUMMARY OF THE ARGUMENT

The bankruptcy court properly concluded, and the Thirteenth Circuit properly affirmed the finding that Weinberg did not violate the automatic stay pursuant to 11 U.S.C. § 362(a)(3), that 11 U.S.C. § 503(b) permits a court to grant an administrative expense for a substantial contribution in a case under Chapter 7 of the Bankruptcy Code, and that Weinberg was entitled to a substantial contribution administrative expense under § 503(b).

The language of § 362(a)(3) contains the word "act" when referring to a violation of the automatic stay. Some circuit courts have held that a postpetition affirmative act by the creditor with regard to the collateral is a violation of the automatic stay, but the postpetition passive retention of the collateral does not violate the automatic stay since no "act" was committed. In addition, courts have held that if the status quo of the collateral was maintained from prepetition through postpetition, then the automatic stay has not been violated. Since Weinberg lawfully repossessed the snow plows prepetition and then left them in storage, no postpetition action has occurred, and the status quo has been maintained. Therefore, Weinberg did not violate the automatic stay.

Instead, the Debtor or the Trustee should have filed a turnover action with the bankruptcy court pursuant to 11 U.S.C. § 542(a). This Court's holding in *United States v. Whiting* set forth the creditors' right to adequate protection of their interests in exchange for possession of the collateral. The turnover action is not self-executing because a bankruptcy court must determine whether a creditor has been offered sufficient adequate protection in exchange for possession. Because every bankruptcy case and every creditor's interest is different, determining adequate protection requires a court's finding of fact. A court could only make a finding of fact if an action has been filed. Therefore, the turnover action must be filed before the court. Because

neither the Debtor nor the Trustee filed a turnover action, Weinberg is not subject to the turnover action, and did not violate § 542(a).

Regarding the second issue, the plain language of § 503(b) provides that the list of allowed administrative expenses is non-exhaustive. More specifically, the word "including" in § 503(b) indicates that Congress sought to build a mechanism into § 503(b) to allow courts to award administrative expenses that are not explicitly mentioned in § 503(b)'s subsections. The Bankruptcy Code itself provides in 11 U.S.C. § 102(3) that the phrases "includes" and "including" are not limiting.

Contrary to the Petitioner's contention that § 503(b)(3)(D) contains an express restriction that confines administrative expenses awarded to creditors for substantial contributions to Chapters 9 and 11, the statutory language of the Bankruptcy Act does not require that conclusion. In expressly mentioning Chapters 9 and 11, the legislature merely intended to provide guidance to courts by setting forth the most common circumstances where substantial contribution administrative expenses may be granted. Nowhere does the Act pronounce that an administrative expense incurred in making a substantial contribution in a Chapter 7 case is not allowed. Finally, the unique circumstances of this particular case and considerations of equity warrant granting Weinberg an administrative expense in the amount of $25,000 for his substantial contributions to the bankruptcy estate. Failing to award an administrative expense to a creditor like Weinberg, who took indispensable action to benefit the estate, will deter creditors from constructively participating in Chapter 7 cases.

Therefore, Respondent respectfully requests that this Honorable Court affirm the decisions below and hold that Weinberg's retention of snow plow trucks that he legally

repossessed prepetition did not violate 11 U.S.C. § 362(a)(3) and that Weinberg is entitled to a substantial contribution administrative expense under 11 U.S.C. § 503(b).

ARGUMENT

I. THE LOWER COURTS CORRECTLY RULED THAT RESPONDENT WEINBERG DID NOT VIOLATE THE AUTOMATIC STAY SET FORTH IN 11 U.S.C. § 362(a)(3) BY REPOSSESSING THE SNOW PLOWS FROM THE DEBTOR AND PASSIVELY RETAINING THE SNOW PLOWS FOLLOWING A DEFAULT IN PAYMENT; THE TRUSTEE FAILED TO PROPERLY FILE A TURNOVER ACTION WITH THE COURT PURSUANT TO 11 U.S.C. § 542(a) IN ORDER TO RECOVER THE SNOW PLOWS.

The Trustee claims that once the petition for bankruptcy was filed, Weinberg's continued possession of the snow plows violated the automatic stay set forth in 11 U.S.C. § 362, which provides in pertinent part:

> (c) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—
>
> . . .
>
> (B) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate.

11 U.S.C. § 362(a)(3); R. at 8.

However, as the lower courts correctly found, § 362(a)(3) requires an affirmative "act" to violate the automatic stay described in the statute. R. at 9, 21. Because Weinberg did not commit an affirmative act, and merely maintained the status quo, Respondent respectfully requests that this Court to affirm the decision of the lower courts.

A. <u>A secured creditor does not violate the automatic stay set forth in 11 U.S.C. § 362(a)(3) by legally repossessing the collateral prepetition and passively retaining possession postpetition.</u>

i. Passively retaining possession of collateral does not fall within the type of "act" described in § 362(a)(3).

§ 362(a)(3) states that an "act" is required in order to violate the automatic stay, which begins as soon as a petition for bankruptcy is filed. 11 U.S.C. § 362(a)(3). The circuit courts are split on whether passively retaining property that was repossessed prepetition violates the automatic stay. However, finding a passive retention to constitute an "act" is misguided and goes against the purpose and function of the Bankruptcy Code.

The Supreme Court has not ruled on this issue specifically, but this Court has ruled on the subject of the automatic stay with regard to secured creditors and repossession:

> At the secured creditor's insistence, the bankruptcy court must place such limits or conditions on the trustee's power to sell, use, or lease property as are necessary to protect the creditor. The creditor with a secured interest in property included in the estate must look to this provision for protection, rather than to the nonbankruptcy remedy of possession.

United States v. Whiting Pools, Inc., 462 U.S. 198, 204 (1983).

When analyzing whether the passive retention of property repossessed prepetition violated the automatic stay, the Tenth Circuit held:

> [§ 362(a)(3)], then, stays entities from *doing* (emphasis included) something to obtain possession of or to exercise control over the estate's property. It does not cover "the act of passively holding onto an asset," *Thompson*, 566 F.3d at 703, nor does it impose an affirmative obligation to turnover property to the estate.

In re Cowen, 849 F.3d 943, 949 (10th Cir. 2017). The *Cowen* court also held:

> If Congress had meant to add an affirmative obligation—to the automatic *stay* provision no less, as opposed to the *turnover* provision—to turn over property belonging to the estate, it would have done so explicitly. The majority rule finds no support in the text or its legislative history.

Id. at 949.

Contrary to the Trustee's insistence that *Whiting's* holding suggests that passive retention of collateral postpetition is a violation of the automatic stay, this Court's holding in *Whiting* only applies to creditors who 'act' to exercise control over a debtor's property postpetition rather than

passively retain it. In *Whiting*, the debtor failed to respond to assessments and payments by the Internal Revenue Service ("IRS") and as a result, a tax lien attached to all of the debtor's property. 462 U.S. 198, 199-200. The debtor filed a petition under Chapter 11 of the Bankruptcy Code. *Id.* at 200. The United States intended to move forward with a tax sale of the property and moved in the bankruptcy court that the automatic stay in § 362(a) is either inapplicable to the IRS, or in the alternative, for a relief from the stay. *Id.* at 200-201. The bankruptcy court ruled that the automatic stay was applicable to the IRS and ordered the IRS to turn over the property to the debtor on the condition that the debtor provided the IRS with specified protection for its interests. *Id.* at 201. This Court held on appeal that the automatic stay applies to the IRS and all other secured creditors. *Id.* at 212. This Court ruled that "[t]he Bankruptcy Code provides secured creditors various rights, including the right to adequate protection, and these rights replace the protection afforded by possession." *Id.* at 207. Also, in footnote 14, this Court noted:

> One of the procedural rights the law of secured transactions grants a secured creditor to enforce its lien is the right to take possession of the secured property upon the debtor's default. Uniform Commercial Code § 9–503, 3A U.L.A. 211 (1981). A creditor's possessory interest resulting from the exercise of this right is subject to *certain restrictions on the creditor's use* of the property. See § 9–504, 3A U.L.A. 256–57.

Id. at 206 n.14 (emphasis added). This Court specified that the creditor is restricted from using the debtor's property. *Id.*

Interpreting the text of § 362(a)(3) shows that only an affirmative action is a violation of the automatic stay. In *Cowen*, the Tenth Circuit interpreted § 362(a)(3) to mean that an affirmative act was required to violate the automatic stay. "'Act', in turn, commonly means to 'take action' or 'do something.' 849 F.3d 943, 949. (citing *New Oxford American Dictionary* 15 (3d ed. 2010)) (primary definition of 'act')." *Id.* After interpreting the statute, the court held that, "adhering to the text of the statute as we must, we adopt the minority rule: only affirmative acts

to gain possession of, or to exercise control over, property of the estate violate § 362(a)(3).” *Id.* at 950.

This Court’s holding in *Whiting* does not apply to the case at hand because the two situations are readily distinguishable. The IRS in *Whiting* intended to sell the debtor’s property to recover its security interest even after the debtor filed its petition under Chapter 11 of the Bankruptcy Code, whereas Weinberg did not attempt to sell, use, or act in any way with the snow plows once the Debtor filed its petition under Chapter 11. *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 200-201 (1983). It was because the IRS attempted to act, which is an explicit violation of § 362(a)(3), that this Court held there was a violation of the automatic stay. If Weinberg had used, sold, or performed any act with regard to the snow plows he would have violated the automatic stay. However, because Weinberg left the snow plows in storage, no violation occurred.

The Tenth Circuit in *Cowen* dealt with a situation similar to the case at hand and adopted the approach to passive retention of collateral subject to the automatic stay that follows the plain language of § 362(a)(3). This section uses the word “act” when referring to violations of the automatic stay. The court cited the definition of the word “act” from the *New Oxford English Dictionary* as to ‘take action’ or ‘do something.’ 849 F.3d 943, 949.[1] In the instant case, Weinberg did not “take action” or “do something” after the debtor’s petition had been filed. After Weinberg legally repossessed the snow plows prepetition, the snow plows stayed in storage. R. at 6. This passive retention is equivalent to inaction. Using the *Cowen* court’s reasoning, there was no affirmative action, or any action at all, and Weinberg did not violate the automatic stay.

[1] Black’s Law Dictionary defines “act” as “[t]he process of doing or performing; an occurrence that results from a person's will being exerted on the external world.” *Act*, Black’s Law Dictionary (10th ed. 2014).

ii. The status quo doctrine is used by certain bankruptcy courts to determine whether a creditor violated the automatic stay while in possession of the collateral.

The Bankruptcy Court for the Eastern District of Texas developed the doctrine that maintaining the status quo once the bankruptcy petition is filed does not violate the automatic stay.

> By statute, the filing of a petition for relief imposes a mandatory stay of any creditor's collection attempts. The effect of this stay is to freeze the status quo. To the extent that a creditor fails to desist in these collection attempts and attempts to exercise control over property of the estate post-petition, such creditor can be sanctioned pursuant to § 362(h). However, this provision for creditors who affirmatively act in violation of the stay post-petition can not be extrapolated to punish creditors who, while legally seizing the property of the estate prepetition, failed to return this property immediately to the debtor post-petition. In maintaining the seized property in the status it enjoyed just before the filing of debtor's petition, a creditor is merely complying with the spirit of the § 362 freeze.

In re Richardson, 135 B.R. 256, 258–59 (Bankr. E.D. Tex. 1992) (footnote omitted). Since the ruling in *Richardson*, other courts have adopted the status quo doctrine. *See e.g. In re Young*, 193 B.R. 620 (Bankr. D.D.C. 1996); *In re Denby-Peterson*, 576 B.R. 66, 81–82 (Bankr. D.N.J. 2017).

The D.C. Circuit came to a similar conclusion when describing the purpose of the automatic stay:

> The object of the automatic stay provision is essentially to solve a collective action problem-to make sure that creditors do not destroy the bankrupt estate in their scramble for relief. See House Report at 340; Senate Report at 49, 54-55Senate Report at 49, 54-55. Fulfillment of that purpose cannot require that every party who acts in resistance to the debtor's view of its rights violates § 362(a) if found in error by the bankruptcy court.

United States v. Inslaw, Inc., 932 F.2d 1467, 1473 (D.C. Cir. 1991).

The status quo doctrine gives courts a guideline to determine whether there was an act that could be considered a violation of the automatic stay, pursuant to § 362(a)(3). In

Richardson, the court ruled that if the status quo of the property is maintained from prepetition through the petition, then the automatic stay has not been violated. 135 B.R. 256, 258-59. The court also held, "[a]s for the issue of the meaning of the phrase 'exercise control over property of the estate' contained in § 362(a)(3), this Court holds that any exercise of control, to be sanctionable, must occur postpetition and involve an affirmative act on the part of a creditor." *Id.* at 259. In determining that the creditor maintained the status quo and therefore did not violate the automatic stay, the court held:

> [The creditor] immediately put the vehicle in storage pending further order of this Court. There has been no sale of the property and the Debtor's rights vis-a-vis [the creditor] have not changed from the date of the filing of the petition for relief. Since no further affirmative action has been taken by [the creditor] in disposing of Debtor's vehicle, [the creditor's] actions can not be construed as an exercise of control over property of the estate as that term is understood by this Court.

Id.

Requiring a party to automatically turn over a debtor's property without a finding of fact by the court can cause a wrongful violation of the automatic stay. In *Inslaw*, the court was asked whether a creditor violated the automatic stay by refusing to turn over property that the parties were in dispute over. 932 F.2d 1467, 1468. The court reasoned:

> Whenever a party against whom the bankrupt holds a cause of action . . . acted in accord with his view of the dispute rather than that of the debtor-in-possession or bankruptcy trustee, he would risk a determination by a bankruptcy court that he had "exercised control" over [property] of the estate.

Id. at 1472.

The status quo doctrine developed in *Richardson* is the method some courts have used to determine whether there has been an act pursuant to § 362(a)(3). If the status of the property remains the same both before and after the petition is filed, then there cannot have been an act on behalf of the creditor to exercise control over the property pursuant to § 362(a)(3). The snow

plows remained in storage both before and after the Debtor's petition. Because the status of the snow plows did not change, Weinberg did not act to exercise control, and therefore did not violate the automatic stay of § 362(a)(3).

Passive retention of collateral that was legally repossessed prepetition does not violate § 362(a)(3) because there was no affirmative action to exert control over the debtor's property. If the status quo of the collateral is maintained, then the automatic stay should not apply. Because Weinberg kept the snow plows in storage both prepetition and postpetition, the status quo of the collateral was maintained, and the automatic stay was not violated. Therefore, this Court should affirm the decision of the lower courts and hold that Weinberg's passive retention of the snow plows did not violate the automatic stay of 11 U.S.C. § 362(a)(3).

As a matter of policy, if this Court decides that passive retention of legally repossessed property prepetition is a violation of § 362(a)(3)'s automatic stay, then both secured creditors' rights and the value of secured transactions will decrease. Self-help repossession of a security interest is a more effective remedy for creditors than a court order requiring a debtor to pay a secured creditor. Without the right to passively retain property, the adequate protection guaranteed by *Whiting* is diminished. This goes against one of the Bankruptcy Code's goals—to protect the interest of secured creditors:

> Notwithstanding any preference that the Commission or the Congress might have had for facilitating reorganization and for protecting the rights of certain unsecureds and debtors, both recognized the interests of secured creditors. The Code includes many provisions to protect those interests, and a few provisions that strengthen those interests have been added since 1978. Well-heeled and well represented, secured creditors have made the most of these provisions in the 25 years since the Code's adoption.

James J. White, *Death and Resurrection of Secured Credit*, 12 Am. Bankr. Inst. L. Rev. 139, 164 (2004). If the creditor passively retains the property, the creditor's interests are adequately protected, and the debtor's estate is still intact to repay creditors.

B. <u>Because the turnover action is not self-executing, the debtor or trustee must file a § 542(a) turnover action so that the secured creditor receives adequate protection of their rights before turning over the vehicle to the debtor or trustee.</u>

i. The interpretation that the § 542(a) turnover action is self-executing is erroneous; without due process, creditors will be unable to defend their interests.

11 U.S.C. § 542(a) provides for a turnover action as a remedy for debtors to regain possession of any property currently in the possession of a creditor or other party. However, this turnover action is not self-executing, and a debtor must file a turnover action with the court in order for § 542(a) to come into effect.

§ 542 reads in pertinent part:

> (a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

11 U.S.C. § 542(a). Similar to the split among the circuit courts regarding whether passive retention of property postpetition violates the automatic stay, the courts are also split on whether the turnover action set forth in § 542(a) is self-executing. However, the statute and relevant case law indicate that the turnover action must be filed with the court before it comes into effect.

This Court in *US v. Whiting Pools, Inc.*, held that "the reorganization estate includes property of the debtor that has been seized by a creditor prior to the filing of a petition for reorganization." 462 U.S. 198, 209 (1983). This Court also held that 11 U.S.C. § 542:

> requires an entity (other than a custodian) holding any property of the debtor that the trustee can use under § 363 to turn that property over to the trustee. Given the broad scope of the reorganization estate, property of the debtor repossessed by a secured creditor falls within this rule, and therefore may be drawn into the estate.

Id. at 205-206.

The Bankruptcy Court for the Eastern District of Michigan in *In re Barringer* held:

> Given the many issues that may be relevant to a turnover proceeding, and in light of the fact that the Code explicitly provides the creditor with a right to be heard on some of these issues, we cannot accept the proposition that Congress intended that the trustee's right of possession under § 542(a) be absolute or self-effectuating.

244 B.R. 402, 410 (Bankr. E.D. Mich. 1999). The Bankruptcy Court for the District of Columbia held that this Court's holding in *Whiting* should be interpreted narrowly, and as such, § 542(a) is not self-executing.

> The Court made only two holdings in *Whiting Pools:* first, that the estate, as defined under § 541(a)(1) generally includes property of the debtor seized by a creditor prepetition (part I of the decision) and, second, that prepetition seizure of tangible property seized by tax levy does not effect a change in title or otherwise provide an exception to the general rule (part III of the decision).

. . .

> There are several reasons why § 542(a) must not be held to be self-executing.

In re Bernstein, 252 B.R. 846, 849 (Bankr. D.D.C. 2000).

In *Barringer*, the debtor leased a truck from the creditor. 244 B.R. 402, 403. The debtor defaulted on his payments, causing the truck to be legally repossessed by the secured creditor. *Id.* Two days later, the debtor filed for Chapter 13 bankruptcy relief and then filed an adversarial complaint against the creditor for refusing to turn over the truck. *Id.* The court acknowledged that the *Whiting* decision means that if the obligation of § 542(a) is applicable, a creditor can be obligated to turn the property over, even if it was legally repossessed. *Id.* at 405. However, the court carefully analyzed the holding of *Whiting*, noting that this Court repeated on numerous

occasions that the trustee's rights under § 542(a) are non-derivative; these rights were not available to the debtor at the time the debtor filed the petition. *Id.* at 406. The court concluded that the trustee's rights under § 542(a) are not inherited from the debtor but must instead be affirmatively exercised. *Id.* at 407. The court later held that by that reasoning, § 542(a) cannot be self-executing. *Id.* at 409. Furthermore, the court reasoned that because of the lack of due process and because there was never a pre-Code precedent for it, the demand of the trustee does not automatically trigger the turnover obligation. *Id.* Finally the court held: "We instead conclude that the right must be judicially recognized in the form of a court order compelling turnover. Upon entry of such an order, the right of possession is in effect transferred from the creditor to the trustee. At this point, the right becomes property of the estate." *Id.* at 410.

The *Bernstein* court agreed with the *Barringer* court, holding that § 542(a) turnover is not self-executing. 252 B.R. 846, 849. The court gave reasons why the purpose of § 542(a) precludes it from being self-executing:

> First, section 542(a) envisions that the creditor will be entitled to raise any defenses to turnover before it is compelled to do so.
> . . .
> If an entity possessing property raises one of [the two exceptions from § 542(a)], there is no indication in the Bankruptcy Code that the entity does so at the risk of being held in contempt under § 362(a)(3) in the event that the defense is rejected.
>
> Second, . . . If the creditor contests the trustee's right of turnover, for whatever reason, the Code plainly contemplates that the court will adjudicate all defenses the creditor raises to turnover, including any defense that the creditor asserts a lien and requests that the court accord adequate protection of that lien under 11 U.S.C. § 363(e).

Id. at 850.

At first glance, this Court's holding in *Whiting* appears to make the § 542(a) turnover action self-executing. However, upon closer examination the holding should be interpreted more narrowly. It is well-settled that creditors are to be given adequate protection in exchange for

possession of the collateral. However, the *Whiting* decision never went into detail regarding the amount of adequate protection sufficient to protect a creditor's rights. This is because the amount and type of adequate protection required is not universal. Adequate protection needs to be determined on a factual basis. Adequate protection in exchange for possession of a car could be restricting the number of miles driven, or where the car is allowed to be driven. Adequate protection in exchange for an appliance could be limiting the amount of times the appliance is used. Regardless of the situation, determining what constitutes adequate protection requires a finding of fact by the bankruptcy court. *See e.g. In re O'Connor*, 800 F.2d 1393, 1397 (10th Cir. 1987); *In re Swedeland Dev. Grp., Inc.*, 16 F.3d 552, 564 (3d Cir. 1994); *In re Martin*, 761 F.2d 462 (8th Cir. 1985); *In re Showshoe Co., Inc.*, 789 F.2d 1085, 1088 (4th Cir. 1986); *In re George Ruggiere Chrysler-Plymouth, Inc.*, 727 F.2d 1017, 1019 (11th Cir. 1984). The need for a finding of fact negates the proposition that the § 542(a) turnover action is self-executing. Instead, a turnover action must be brought before the court.

The Bankruptcy Code specifically provides for certain exceptions the creditor can bring before the court to show that a turnover action is improper. While none of those exceptions apply to the instant facts, a creditor would generally need an opportunity to bring those exceptions before the court. Without that chance, the collateral might erroneously be left with the wrong party, damaging either the debtor's chances to receive compensation for their estate or the creditor's right to adequate protection. This is the reasoning both the *Barringer* and *Bernstein* courts set forth when determining that § 542(a) is not self-executing. Applying that to the facts at hand gives an equitable judicial remedy to Weinberg and the Debtor. Weinberg will have received adequate protection and the Trustee will have received possession of the snow plows and will be able to sell them to Tenth Avenue.

ii. In order to determine what constitutes sufficient adequate protection for a creditor, the court must make a determination based on the facts of the case.

In order to determine which party has the right of possession to property, the court held:

> The pivotal issue to be decided in adjudicating Debtor's demand for return of the vehicle is the provision of adequate protection. . . . in order for the debtor to prevail upon debtor's request for return of the vehicle, debtor must provide to the creditor adequate protection for the potential harm that the creditor could reasonably sustain as a result of debtor's possession and use.

In re Massey, 210 B.R. 693, 696 (Bankr. D.Md.).

The First Circuit discussed the nature of the § 542 turnover, holding that "§ 542 turnover actions are designed to protect the property of the estate and establish a procedure by which the court may exercise its equitable powers to gather the property of the estate and administer claims." *Braunstein v. McCabe*, 571 F.3d 108, 123 n.17 (1st Cir. 2009).

The creditor must be provided adequate protection of their security interest before they are required to turn over the collateral to the debtor or trustee. In *Massey*, the court interpreted the holding in *Whiting* to mean that adequate protection of the security interest must be provided before the § 542(a) turnover obligation initiates. *Id.* at 696. The court also held that the determination of adequate protection had to be fact-specific to each individual case. *Id.*

The § 542(a) turnover is an equitable action of the court; it balances the adequate protection of the creditor's interest with the debtor's right of possession. This is reflected in the holding made by the court in *Braunstein*:

> A turnover action is not an action to recover damages for the taking of estate property but an action to recover possession of property belonging to the estate at the time of the filing. *See* 5 *Collier on Bankruptcy, supra,* ¶ 542.02. It invokes the court's most basic equitable powers to gather and manage property of the estate.

571 F.3d 108, 122 (determining that a party cannot bring the § 542(a) turnover action in an adversarial proceeding).

The *Massey* court reasoned that the most important factor to adjudicate in returning the debtor's possession is the adequate protection the creditor would receive in exchange. Without the correct ruling on what sufficient adequate protection is, the secured creditor might be unnecessarily harmed and recoup a loss. In the present case, Weinberg did not want to return the snow plows to the Trustee because he wanted a proper showing of adequate possession in exchange for possession. R. at 6. The Trustee did not offer adequate protection, which resulted in the matter before the Court today. If the Trustee had brought the turnover action before the bankruptcy court, there would have been a finding to determine sufficient adequate protection, and Weinberg would have returned the snow plows to the Trustee.

The First Circuit examined the procedural history of the turnover action in *Braunstein* to determine whether it was proper to be brought as an adversary proceeding, and the court ultimately determined it was an equitable action. This is in accord with the holding in *Whiting*, where this Court held that the debtor will receive possession of the collateral in exchange for the adequate protection offered to the creditor. *United States v. Whiting Pools, Inc.*, 462 U.S. 198, 207 (1983). In the present case, Weinberg's adequate protection should have been equitably balanced with the Trustee's possession before a court. Without a court's determination that the turnover of possession is balanced with adequate protection, a creditor cannot be sure that they are receiving sufficient adequate protection for the collateral. It would be inequitable to punish Weinberg for refusing to turn over the snow plows to the Trustee without a hearing before the court regarding the adequate protection he is entitled to by law.

As a matter of policy, requiring a court action for § 542(a) appropriately weighs both debtor and creditor interests. Creditors can be assured that they will receive a judicial finding of fact with regard to the sufficiency of the adequate protection. Debtors will have a uniform

process for regaining possession of their property, which provides less uncertainty on when they will regain possession of their property. If the turnover action was before the court, the Trustee could have asked the court for possession of the snow plows to sell them to Tenth Avenue before the offer was withdrawn.

In light of procedural concerns, statutory interpretation, holdings of this Court and lower courts, and equity, 11 U.S.C. § 542(a) turnover should be an action brought before the bankruptcy court. This would satisfy judicially-mandated adequate protection for creditors, and it would provide a uniform procedure for debtors to regain possession of their property. Because the Trustee never filed a § 542(a) action with the bankruptcy court, Weinberg never received adequate protection in exchange for possession of the snow plows. Therefore, this Court should affirm the decision of the lower courts and find that 11 U.S.C. § 542(a) is not self-executing.

C. A statutory interpretation of § 362(a)(3), when taken into consideration with § 542(a), shows that that an affirmative action, rather than a passive retention, violates the automatic stay, and that a Debtor or Trustee must file a turnover action with the court in order to recover possession of property.

Over time, this Court has developed principles of statutory interpretation to guide the lower courts' administration of law. When these principles are correctly applied to 11 U.S.C. § 362(a)(3) and 11 U.S.C. § 542(a), it becomes clear that an affirmative action is necessary to violate the automatic stay, and that a turnover action is not self-executing, and must instead be brought before the court.

§ 362 provides in pertinent part:

> (a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of—
>
> . . .

> (3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate.
>
> 11 U.S.C. § 362(a)(3), 2010.

§ 542 reads in pertinent part:

> (a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

11 U.S.C. § 542(a) (1984).

"The starting point in every case involving construction of a statute is the language itself." *Blue Chip Stamps v. Manor Drug Stores*, 421 U.S. 723, 756 (1975) (Powell, J. concurring). This Court discussed the rule against surplusage in *Duncan v. Walker*:

> As early as in Bacon's Abridgment, sect. 2, it was said that 'a statute ought, upon the whole, to be so construed that, if it can be prevented, no clause, sentence, or word shall be superfluous, void, or insignificant.' We are thus 'reluctan[t] to treat statutory terms as surplusage' in any setting.

533 U.S. 167, 174 (2001) (citations omitted).

"The rule of *in pari materia*—like any canon of statutory construction—is a reflection of practical experience in the interpretation of statutes: a legislative body generally uses a particular word with a consistent meaning in a given context." *Erlenbaugh v. U.S.*, 409 U.S. 239, 243 (1979) (emphasis omitted).

There is a glaring discord in the way both sections are interpreted, evidenced by the split among the circuit courts. To properly interpret the statute, rules of statutory interpretation require the analysis to begin with an examination of the technical meaning of words used in the statute. This Court held: "While it is true that statutory language should be interpreted whenever possible according to common usage, some words acquire a special technical meaning by a process of

judicial construction." *Barber v. Gonzales*, 347 U.S. 637, 641 (1954) (interpreting the word "entry" as it pertains to an immigration statute). Black's Law Dictionary defines "act" as "[t]he process of doing or performing; an occurrence that results from a person's will being exerted on the external world." *Act*, Black's Law Dictionary (10th ed. 2014). By its very definition, an act or action cannot be a passive retention because a passive retention is when the creditor does nothing with the legally repossessed collateral. The view that Weinberg's passive retention was an "act" and therefore violated § 362(a)(3) is illogical.

If this Court applies the rule against surplusage to § 542(a), it will find that an interpretation of the section as self-executing renders part of the section as meaningless. The section contains the phrase "shall deliver," which imparts an affirmative duty upon the creditor to turn over the property. However, the statute also includes the following language: "unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a). This language provides an exception to the creditor's obligation to deliver the property to the debtor or trustee. Although those exceptions do not apply to the current case, if a creditor did claim one of these exceptions, and the claim was in dispute, there would need to be a judicial inquiry to determine whether the exceptions to the section apply in a case. By this reasoning, Congress implied that a judicial action was required to determine whether the turnover action was applicable. This reasoning is also in line with this Court's holding in *Whiting*, affirming the creditor's right to adequate protection in exchange for possession of the collateral. A court needs to resolve disputes arising from whether an exception to the turnover action exists, or whether there is sufficient adequate protection. The only way a court can effectively do so is if the debtor or trustee files a turnover action with the court. Therefore, since no turnover action was filed with

the court, Weinberg was not afforded due process to present an exception to the statute or determine whether he was offered adequate protection in exchange for possession.

Finally, when the canon of *in pari materia* is applied to § 362(a)(3) and § 542(a), the sections can be read together to offer insight into a logical procedural order:

> [*In pari materia*] is but a logical extension of the principle that individual sections of a single statute should be construed together, for it necessarily assumes that whenever Congress passes a new statute, it acts aware of all previous statutes on the same subject. Given this underlying assumption, the rule's application certainly makes the most sense when the statutes were enacted by the same legislative body at the same time.

Erlenbaugh v. U.S., 409 U.S. 239, 244 (1979) (citation omitted). If § 542 is self-executing, then a creditor would be required to immediately turn over possession of the property subject to a penalty for failure to comply with the turnover action. If that were the case, then § 362(a)(3) would be meaningless. If a creditor is already subject to penalties for violating the self-executing turnover, then the creditor would automatically be subject to more penalties for violating the automatic stay. If the sections are interpreted in this manner, then § 542(a) makes § 362(a)(3) redundant. This flawed interpretation is why it is important to interpret both sections *in pari materia*.

Instead, § 362's automatic stay should be interpreted to apply to all acts except the inaction of passive retention of legally repossessed property. This would require the debtor and trustee to file a § 542 turnover action with the court to determine whether the creditor was offered adequate protection in exchange for possession. This would be followed by a court order to the creditor to turn over possession of the property to the debtor or trustee, who would then try to use the property to settle the debtor's accounts. However, this did not occur in the case at hand. If it had, Weinberg would have turned over the snow plows to the Trustee upon a judicial

finding of adequate protection. The Trustee could have sold the snow plows to Tenth Avenue to maximize value for the benefit of the Debtor's creditors.

In light of this statutory interpretation, this Court should find that the lower courts correctly interpreted both § 362(a)(3) and § 542(a).

II. A BANKRUPTCY COURT MAY GRANT AN ADMINISTRATIVE EXPENSE UNDER 11 U.S.C. § 503(b) FOR A SUBSTANTIAL CONTRIBUTION ADMINISTRATIVE EXPENSE IN A CASE UNDER CHAPTER 7 OF THE BANKRUPTCY CODE.

The bankruptcy court's conclusion that Weinberg is entitled to a substantial contribution administrative expense under § 503(b), regardless of subsection 503(b)(3)(D), should be upheld because the Trustee himself acknowledged that Weinberg made a substantial contribution to the bankruptcy estate and because the statutory language of § 503(b) does not preclude a court from awarding an administrative expense in a Chapter 7 case. As a general matter, the Bankruptcy Code indicates that administrative expenses have a priority and must be paid before unsecured creditors receive a distribution. 11 U.S.C. § 507(a); *see In re Al Copeland Enters., Inc.*, 991 F.2d 233, 238 (5th Cir. 1993); *see also* 4 Collier on Bankruptcy ¶ 503.01 (16th ed. 2018). In the instant case, it is undisputed that Weinberg made a substantial contribution to the bankruptcy estate. R. at 7-8. The issue is whether an administrative expense for substantial contributions is permitted in a Chapter 7 case. Longstanding principles of statutory interpretation and considerations of equity require answering this question in the affirmative.

A. The plain language of 11 U.S.C. § 503(b) indicates that § 503(b) is intended to provide a non-exhaustive list of permissible awards for substantial contribution administrative expenses, meaning that a court is not precluded from granting an administrative expense in a Chapter 7 case.

The statutory language of § 503(b) indicates that the enumerated categories of administrative expenses are non-exhaustive. In particular, the use of the term "including" in § 503(b) reveals that Congress did not intend to provide a complete list of allowable expenses. *See*

11 U.S.C. § 503(b); *see also In re N.P. Mining Co.*, 963 F.2d 1449, 1452 (11th Cir. 1992) (concluding that it is clear from the face of the statute that expenses not explicitly listed in § 503(b) can be granted). "[I]t is universally accepted that the § 503(b) list of the types of administrative claims is not exhaustive and that the listed categories provides general guidance to courts as to certain types of allowable claims." *In re Maust Transp., Inc.*, 589 B.R. 887, 893 (Bankr. W.D. Wash. 2018) (citations omitted).

In the instant case, Weinberg sought and was awarded administrative expenses under § 503(b)(3)(D), which when read together as one coherent sentence states:

> After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, *including*—the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by—a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title.

11 U.S.C. § 503(b)(3)(D) (emphasis added). The word "including" in the introductory language of § 503(b) must be given meaning. Linda E. Coco, *Section 503(b) of the Bankruptcy Code Should be Construed to Authorize Substantial Contribution Awards to Creditors in Chapter 7 Cases*, 26 No. 4 J. Bankr. L. & Prac. NL Art. 6 (2017). The rule against superfluities instructs that a "statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant." *Hibbs v. Winn*, 542 U.S. 88, 101 (2004) (quotation omitted). The only way to give the word "including" meaning is to recognize that administrative expenses other than the enumerated statutory examples are allowable.

The Bankruptcy Code itself provides that the phrases "includes" and "including" are not limiting. 11 U.S.C. § 102(3); *see* 4 Collier on Bankruptcy ¶ 503.05[1] (16th ed. 2018). This "unambiguous general directive" establishes that as the term "including" is used in § 503(b) of the Code, it signifies a non-exclusive list of permitted administrative expense claims. *United*

States v. Ledlin (*In re Mark Anthony Constr., Inc.*), 886 F.2d 1101, 1106 (9th Cir. 1989) (citation omitted). Thus, as the Sixth Circuit held in *Mediofactoring v. McDermott* (*In re Connolly N. Am., LLC*), 802 F.3d 810 (6th Cir. 2015), by using the term "including" in the statute's prefatory language, Congress built a mechanism into § 503(b) for bankruptcy courts to reimburse administrative expenses that are not specifically enumerated in § 503(b)'s subsections.

In *Connolly*, the Sixth Circuit held that administrative expenses are allowable under § 503(b) in Chapter 7 cases. *In re Connolly N. Am., LLC*, 802 F.3d at 813; *see* 4 Collier on Bankruptcy ¶ 503.10[5] (16th ed. 2018). The court reasoned that the insertion of the term "including" suggests that the legislature intended to confer upon bankruptcy courts the authority to award expenses in circumstances other than the ones expressly enumerated under § 503(b). *In re Connolly N. Am., LLC*, 802 F.3d at 816. The *Connolly* court specifically employed a totality of the circumstances approach, concluding that "[w]here, as here, reimbursement of administrative expenses properly follows from the totality of the pertinent facts, interpretation of the statutory language, and relevant equitable considerations, we hold that § 503(b) allows for reimbursement in Chapter 7 cases." *Id.* at 815.

Following the Sixth Circuit's approach in *Connolly*, many bankruptcy courts have concluded that based on the language and structure of the statute, § 503(b) offers useful guidance to courts for evaluating the most common kinds of administrative expenses, while concurrently empowering courts to provide similar compensation in other cases where it is warranted. *See, e.g.*, *In re Javed*, 2018 WL 4955839, at *10 (Bankr. D. Md. Oct. 11, 2018) (interpreting § 503(b) as endorsing substantial contribution claims in Chapters 9 and 11, but not inevitably excluding such claims in other Chapters). Therefore, the word "including" indicates that the statute is intended to provide flexibility to courts in awarding expenses, and § 102(3) of the Bankruptcy

Code, which defines the term "including" as not limiting, also renders the *expressio unius* rule inapplicable to § 503(b). *In re Health Trio, Inc.*, 584 B.R. 342, 352-53 (Bankr. D. Colo. 2018).

Nevertheless, some courts reject all claims for substantial contribution administrative expenses by creditors in any Chapter 7 case. *See, e.g.*, *Lebron v. Mechem Fin., Inc.*, 27 F.3d 937, 945 (3d Cir. 1994). Relying on the principle of *expressio unius est exclusio alterius* (i.e., the explicit mention of one thing is the exclusion of another), these courts hold that the phrase "in a case under Chapter 9 or 11 of this title" in subsection (b)(3)(D) precludes the award of a substantial contribution administrative expense in Chapter 7 cases. *In re Maqsoudi*, 566 B.R. 40, 44 (Bankr. C.D. Cal. 2017) (citing *Mosier v. Kupetz* (*In re United Educ. & Software*), 2005 WL 6960237, at *7 (B.A.P. 9th Cir. Oct. 7, 2005)). But, contrary to the Ninth Circuit's restrictive decision in *United Educ. & Software*, the Ninth Circuit has once concluded that "the administrative expense statute's use of 'including' renders the *expressio unius* rule inapplicable to section 503," and thus, "expenses not specifically listed in the section can be deemed administrative expenses." *In re Mark Anthony Constr., Inc.*, 886 F.2d at 1106. This construction means that administrative expenses for substantial contributions are permissible in a Chapter 7 case even though it is not explicitly listed in § 503(b)(3)(D).

The Petitioner will likely contend that the word "including" should be interpreted to suggest that the nine subsections of § 503(b) are non-exhaustive, while the six examples under § 503(b)(3) are exhaustive in themselves since subsection 503(b)(3) does not contain the word "including." However, as the bankruptcy court in *Maqsoudi* explained, this interpretation is illogical. *See In re Maqsoudi*, 566 B.R. at 44. When § 503(b), subsection 503(b)(3), and subsections 503(b)(3)(A)-(F) are read as a single sentence, it is clear that the "including" language applies throughout and reaches subsection 503(b)(3). *See* 11 U.S.C. § 503(b)(3)(D). It

is "grammatically improper" to construe the statute otherwise. *In re Maqsoudi*, 566 B.R. at 44. "Furthermore, concluding that the subsections of § 503(b) are non-exhaustive, but that the subsections of 503(b)(3) are exhaustive, would make the application of the statute . . . untenable." *Id.* "What determines which level of the statute an applicant's request should be analyzed under?" *Id.* An applicant could simply request the expansion of the subsections of § 503(b) to allow for their request. *Id.* Ultimately, although subsection 503(b)(3)(D) does not itself contain the word "including," the passage immediately preceding subsection 503(b)(3)(D) does contain the word. *See In re N.P. Mining Co.*, 963 F.2d at 1455. Reading the statute together as a complete sentence, rather than severed fragments, makes this construction of the statute clear.

i. Chapter 9 and 11 were specifically enumerated in 11 U.S.C. § 503(b)(3)(D) only because such cases require creditors to step in and make a substantial contribution for the benefit of the estate much more frequently than Chapter 7 cases do.

As a matter of course, in cases under Chapters 9 and 11, a creditor will use its own time and resources to the advantage of the bankruptcy estate. *In re Connolly N. Am., LLC*, 802 F.3d at 817. In contrast, in all but the most unusual Chapter 7 cases, the trustee fulfills this role. *Id.* The trustee plays a significant fiduciary role in most Chapter 7 cases, but in Chapter 9 and 11 cases, the debtor typically stays in possession of the bankruptcy estate. Accordingly, it makes logical "sense that in providing the examples in § 503(b), Congress would expressly mention Chapters 9 and 11 in the context of creditor activity making a substantial contribution, but not Chapter 7." *In re Javed*, 2018 WL at *10 (citation omitted).

Several courts have concluded that Congress did not include Chapter 7 in § 503(b)(3)(D) since it is only the rare case in which a creditor would have to intervene to substantially benefit the estate in Chapter 7 proceedings. The instant case is one of these rare cases. Here, after the Debtor's case was converted from a Chapter 11 case to a Chapter 7 case, the Trustee was

appointed to administer the estate in April 2017. R. at. 7. During this time, Weinberg began to pursue collection efforts against Clemons on the personal guarantee. R. at. 7. Through a creditors' examination of Clemons conducted in May 2017, Weinberg discovered approximately $100,000 worth of fraudulent transfers made by the Debtor. R. at. 7. As a result of Weinberg's valuable assistance, a settlement was quickly reached, thereby increasing the funds available to the estate. *See* R. at 7. Although a Trustee was appointed following the conversion of the Debtor's case from Chapter 11 to Chapter 7, the Trustee required time to get up to speed regarding the case, and thus Weinberg's substantial contribution reduced the time and efforts required by the Trustee and provided the Trustee with valuable information that warrants an award of administrative expenses.

ii. § 503(b)(3)(B), which addresses property hidden by the debtor, demonstrates that the legislature intended to allow the recovery of administrative expenses in Chapter 7 cases.

§ 503(b)(3)(D) allows for expenses incurred by "a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor." *See* 11 U.S.C. § 503(b)(3)(D). "Section 503(b)(3)(B) requires that creditor obtain court approval, and then subsequently recover certain property for the benefit of the estate." *In re Maqsoudi*, 566 B.R. at 43. § 503(b)(3)(B) allows for administrative expenses in Chapter 7 cases; thus, the Petitioner's argument that the legislature did not intend to allow for substantial contribution administrative expenses in Chapter 7 cases is untenable considering that the legislature permits such expenses under § 503(b)(3)(B), so long as the creditor obtains the court's approval.

Although Weinberg did not request or obtain court approval to investigate and pursue the fraudulent transfers on behalf of the estate, several courts have held that court approval may be granted retroactively, albeit under exceptional circumstances. 4 Collier on Bankruptcy ¶ 503.10[3] (16th ed. 2018); *see In re Morad*, 328 B.R. 264, 271 (B.A.P. 1st Cir. 2005)

(concluding that *post facto* approval under § 503(b)(3)(B) may be appropriate under extraordinary circumstances); *see also In re Autosport Int'l, Inc.*, 2013 WL 3199826, at *7 (Bankr. C.D. Cal. June 24, 2013) (granting retroactive approval where the impending loss of a Porsche to a foreign country within a brief window of time presented emergency circumstances). These courts have allowed retroactive approval under the premise that the benefit to the bankruptcy estate outweighs the creditor's failure to obtain prior court approval. In the instant case, Weinberg incurred $25,000 in legal fees as a result of investigating the Debtor's fraudulent transfers, and Weinberg's actions ultimately resulted in a $75,000 increase in funds available to the bankruptcy estate due to the settlement reached by the Trustee and Patti Clemons. R. at 7. If Congress did not intend to allow administrative expenses for creditors in Chapter 7 cases, then § 503(b)(3)(B) certainly would not have been written so broadly as to allow recovery of expenses in Chapter 7 cases.

B. <u>A bankruptcy court is not precluded from awarding a substantial contribution administrative expense in a Chapter 7 case because § 503(b)(3)(D) contains no express restriction that confines such awards to cases under Chapters 9 and 11.</u>

Although the Petitioner argues that § 503(b)(3)(D) contains an express restriction that confines administrative expenses awarded to creditors for substantial contributions to Chapters 9 and 11, the plain language of the Bankruptcy Act does not require this conclusion. “Nowhere does the Act say . . . 'expenses incurred in making a substantial contribution in a case under Chapters 9 or 11, but not Chapter 7, may be allowed.'“ *In re Connolly N. Am., LLC*, 802 F.3d at 816. Congress intended to provide mere guidance by setting forth the more common administrative expenses. “Congress was fully capable of stating that § 503(b) excludes reimbursement in Chapter 7 cases if that is what it actually intended the statute to do.” *Id.* at 818

(citations omitted). Thus, in addressing this issue, courts must rely on established canons of statutory construction in order to interpret § 503(b).

C. The unique facts of this particular case and principles of equity warrant the grant of administrative expenses for the substantial contribution made by Weinberg.

The compelling circumstances in this case and considerations of equity warrant the grant of such an award for a substantial contribution administrative expense. In the instant case, the parties do not dispute that Weinberg made a substantial contribution to the bankruptcy estate. R. at 7-8. Because Weinberg voluntarily provided the Trustee with sufficient documentation and testimony to establish that the transfers were avoidable as fraudulent transfers, a settlement was promptly reached whereby Patti Clemons agreed to pay $75,000 to the estate in satisfaction of all claims asserted in the adversary proceeding. R. at 7. Weinberg's contribution resulted in an efficient resolution and simplified the Trustee's process for recovering funds for the benefit of the estate.

The Supreme Court has recognized that bankruptcy courts "are essentially courts of equity, and their proceedings [are] inherently proceedings in equity." *Local Loan Co. v. Hunt*, 292 U.S. 234, 240 (1934) (citations omitted). Bankruptcy courts have invoked these equitable powers "to the end that fraud will not prevail, that substance will not give way to form, [and] technical considerations will not prevent substantial justice from being done." *Pepper v. Litton*, 308 U.S. 295, 305 (1939); *see* Ashley D. Champion, *Closing the Door but Opening a Window: The Equitable Power of Bankruptcy Courts after Law v. Siegel*, 23 No. 4 J. Bankr. L. & Prac. NL Art. 3 (2014). The conclusion of the lower courts, which held in favor of Weinberg, is rooted in the "overriding consideration that equitable principles govern the exercise of bankruptcy jurisdiction." *Bank of Marin v. England*, 385 U.S. 99, 103 (1966) (citations omitted). Failing to award an administrative expense to a creditor like Weinberg, who took indispensable action to

benefit the estate, could deter creditors from constructively participating in Chapter 7 cases. § 503(b) should not be read to require such a result.

Following the totality of the circumstances approach used in *Connolly*, several courts have held that in a case like the one before this Court, to obtain administrative expenses, the creditor "must establish facts supporting the request." *In re Javed*, 2018 WL at *11. In particular, the creditor must demonstrate that his conduct was warranted, was "not intended to thwart or impede the Chapter 7 process," and was "necessary under the circumstances and provided a substantial benefit to the estate." *Id.* at *11-12. In the instant case, Weinberg voluntarily provided crucial information that was used to avoid $100,000 worth of fraudulent transfers. R. at 7. Without Weinberg's help, the Trustee might not have otherwise been able to reach a $75,000 settlement with Patti Clemons as quickly as he did. *See* R. at 7. The creation of efficiencies for the Trustee and the estate was considered particularly favorable for the creditor in the court's analysis in *Javed*. *See In re Javed*, 2018 WL at *14. Similarly, here, Weinberg's contribution resulted in a quick resolution and streamlined the Trustee's process for recovering funds for the benefit of the estate. The Trustee himself conceded that Weinberg made a "substantial contribution" to the estate. R. at 7-8.

"Denying creditors reimbursement of administrative expenses in such circumstances not only would disincentivize participation in the bankruptcy process, it also would impugn the fundamental notion of bankruptcy as equitable relief." *In re Connolly N. Am., LLC*, 802 F.3d at 819. Interpreting § 503(b)(3)(D) to permit administrative expenses in Chapter 7 cases is "consistent with the policies of the bankruptcy code to encourage creditor participation in all bankruptcy cases, including Chapter 7 cases." *In re Health Trio, Inc.*, 584 B.R. at 352-53 (citation omitted). Ultimately, failing to grant administrative expenses in Chapter 7 cases where

creditors are compelled to take actions that benefit the estate when no other party is willing or capable of doing so "would deter them from participating in bankruptcy cases and proceedings, which is plainly inconsistent with the purposes of the Act." *In re Connolly N. Am., LLC*, 802 F.3d at 818. Accordingly, this Court should find that the lower courts correctly interpreted § 503(b).

CONCLUSION

It is unambiguous that 11 U.S.C. § 362(a)(3) provides for an automatic stay that prevents creditors from acting or using a debtor's property. However, the automatic stay is not meant to apply to passive retention of collateral that was lawfully repossessed prepetition. The use of the word "act" in § 362(a)(3) shows Congress's intent for only affirmative actions to be considered a violation of the automatic stay. Some circuit courts have held that if the status quo of the property is maintained both before and after the petition, then the creditor has not violated the automatic stay. Weinberg did not perform any postpetition action regarding the snow plows, and their status quo was maintained from prepetition through postpetition. Therefore, Weinberg did not violate the automatic stay.

In order to reobtain possession of the snow plows, the Debtor or Trustee should have filed a turnover action pursuant to 11 U.S.C. § 542(a). The turnover action is not self-executing because the creditor is entitled to adequate protection, which must be determined by a finding of fact before a bankruptcy court. This Court's holding in *Whiting* described a creditor's right for adequate protection in exchange for possession of the collateral. In the case at hand, Weinberg did not receive adequate protection from the Debtor or the Trustee, so it follows that he should not be mandated to turn over the snow plows.

Regarding the second issue, 11 U.S.C. § 503(b) of the Bankruptcy Code provides for the allowance of administrative expenses; § 503 derives its importance from § 507, which indicates that administrative expenses have a priority and must be paid before unsecured creditors receive a distribution. In the instant case, it is undisputed that Weinberg made a substantial contribution to the bankruptcy estate. The issue in dispute is whether a substantial contribution administrative expense is permitted in Chapter 7 cases. The inclusion of the term "including" in § 503(b) indicates that the specific categories of allowed administrative expenses listed in § 503(b)'s subsections are non-exhaustive. Several courts, including the Sixth Circuit in *Connolly*, have concluded that administrative expenses are permitted under § 503(b) in Chapter 7 cases.

Further, this Court has long recognized that bankruptcy courts are fundamentally courts of equity that invoke their equitable powers to guarantee that fraud does not prevail, substance does not surrender to form, and technical matters do not preclude justice from being done. The particular facts of this case warrant reimbursement. In the instant case, Weinberg should be rewarded for substantially benefiting the bankruptcy estate by increasing the funds available in the estate. For the above reasons, Respondent respectfully asks this Honorable Court to affirm the decisions below and hold that Weinberg's retention of snow plow trucks that he legally repossessed prior to the bankruptcy filing and each of which constituted collateral for a loan made to the Debtor, did not violate the automatic stay pursuant to 11 U.S.C. § 362(a)(3) and that Weinberg is entitled to a substantial contribution administrative expense under 11 U.S.C. § 503(b)

Respectfully submitted,

_____/s

Team R18
Counsel for Respondent